



PHOTO BY **HARDIK CHHABRA**

Dunzo, Zomato's Blinkit and Tata's bigbasket, there is a secret sauce that sets them apart, yet mostly goes unnoticed: the bonding of the founders, and the seamless alignment of their vision.

Palicha attributes the understanding between him and Vohra, both 21, to the fact that they are best friends and have grown up together. As children, they met in school in Dubai, where they grew up. From there, both went to Stanford, then both were at start-up accelerator Y Combinator; they were also in touch when Palicha co-founded GoPool, a mobile app that helped parents with children to coordinate with each other and carpool to and from school. "See, KV (as Palicha fondly addresses

his business partner) and I are best friends... We both loved building [things] since our childhood [days] and the bond (between us) is deep," says Palicha.

Their roles at Zepto are clearly defined. While the clean-shaven Palicha is the CEO of the quick commerce venture and looks after its operations, finances and steers its growth engine, the bearded Vohra is the CTO and in-charge of its tech, products and data science needs. And this is for obvious

by 40-50 per cent every year, which in turn will help Zepto go deeper. In FY23, for instance, it opened some 60 dark stores, and by end-June 2023, its total store count stood at 223. The third part of the strategy is not raising any more funds from investors in the near-term, says Palicha. According to him, Zepto has so far raised around \$568 million. "The primary aim is to grow while improving profitability. We expect to become Ebitda positive within

The founders have put in place a three-pronged strategy to turn profitable at the Ebitda level by FY25, while also growing the business

| 49

reasons, says Palicha. "KV has always been much smarter and technically adept than I have been," he explains.

With Zepto now spread across 10 major cities in India, Palicha and Vohra are looking forward to rapidly expanding the business while turning profitable at the Ebitda (earnings before interest, tax, depreciation and amortisation) level by FY25. And to achieve that, reveals Palicha, Zepto has a three-pronged strategy. The first, he says, is to increase Zepto's reach within its existing markets and not expand beyond, as that may impact profitability. Second, increasing the pace of opening dark stores—large warehouses that stock goods to fulfil orders—

FY25," Palicha tells *BT*.

In FY23, Zepto's business jumped 14 times to record operating revenue of ₹2,024 crore, against ₹142.4 crore in the previous fiscal. But its net loss ballooned to ₹1,272 crore, compared to a net loss of ₹390 crore in FY22.

In FY24, Palicha expects the top line to grow multiple times, like in FY23. He adds that Zepto will be able to improve its margins "very rapidly". And while all this happens, Zepto will not lose sight of its USP of doorstep delivery within 10 minutes. Once they achieve that, Palicha and Vohra can truly be called the dynamic duo of quick commerce. **BT**

@arndutt